

hear all the time: 'Anyway I don't understand all this stuff. Goes over my head. I see numbers and my eyes glaze. I'm too stupid to understand finance.' She, by the way, is smart enough to raise kids as a single mom, look after her old mother and run a small parlour all on her own. Not stupid at all.

You keep hearing the Suits on TV talk about asset classes, portfolios, underlying,* deficit, interest rate corridors and get really intimidated. Get this straight. It is in the interest of the financial sector to keep things tough for you. The less you understand, the more you can be cheated. The more complicated you think the world is, the more they can obfuscate. But I just said, earlier in the book, that you need a financial planner because of the large number of choices and decisions. Well, I'm saying both. Basic finance is not tough to understand, choosing products is. But if you understand basics, you can ask the right questions of the person selling you a product or even of your financial planner. There is a way to do it yourself fully, and I discuss that in the chapter on products just ahead.

I'm going to give you a quick update on the different kinds of financial products in the market and which bucket of 'asset class' they belong to. Think of it this way: If you had four boxes and had to sort a bunch of fruit, what would you do? You'd put the papaya in the papaya box. The jamun would go in the jamun box, mangoes with other mangoes, and oranges with their brothers and sisters. While we call them all fruit, they are all different. They taste different, and are good for some people and not so good for others. A diabetic is advised to eat less mangoes and more jamun. An arthritic less orange and more papaya. You have to find the fruit that suits your health and taste needs rather than buy what your neighbour is buying.

Financial products are no different. ***There is a purpose for each product you buy, and each product needs to fight with others to grab that place in your box.*** There are three asset classes that we need to understand. Debt, equity and real assets.

Debt is just an umbrella term for all financial products that are based on borrowing. Equity is ownership of a business and the risk that it brings, either directly (through stocks) or indirectly (through mutual funds). Real assets are those that can be physically seen. Debt and equity are called 'financial assets',